



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2017/2018

**FIRST YEAR SECOND SEMESTER EXAMINATION FOR
THE DEGREE OF BACHELOR OF SCIENCE IN
AGRIBUSINESS MANAGEMENT AND AGRICULTURAL
ECONOMICS WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

AAB 102: ELEMENTS OF MANAGEMENT

Date: 4th July, 2018

Time: 8.30 - 11.30am

INSTRUCTIONS:

- Answer Question ONE and any other TWO.
- Carefully read the instructions on the cover of the answer booklet



Question 1

- a) Discuss the levels involved in management and complementary skills necessary for each level (10 Marks)
- b) Discuss the various classifications of management functions (10 Marks)
- c) The theory of Practice of Management has been contributed by many individuals and as a result there has been a variety of approaches to management. Discuss these approaches (10 Marks)

Question 2

- a) The Principles of Bureaucracy as advocated by Max Weber are not applicable to most of today's large organizations. Critically evaluate this statement (10 Marks)
- b) Explain the relevance of Abraham Maslows' hierarchy of needs to the process of motivation (10 Marks)

Question 3

- a) Critically, discuss the concept of administrative management by Henry Fayol(10 Marks)
- b) Discuss two main theories of leadership, highlighting their assumption and how best they could be used to foster better leadership. (10 Marks)

Question 4

- a) Describe the nature of management that makes management a universal practice (10 Marks)
 - b) As a management Consultant, you have been asked to present a paper on "Factors affecting span of management in an organization" in an international management forum. Briefly highlight some of the factors you are going to include in your presentation. (10 Marks)
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MAIN CAMPUS

AAB 103: AGRICULTURAL POLICY

Date: 10th July, 2018

Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Answer Question ONE and any other TWO.



STREAMS: Y1S2 BSc AGBM, BSc AGECE with IT

DATE:

TIME: 3 HOURS

Instructions:

Answer Question 1 and any other two

Carefully read the instructions on the cover of the answer booklet

Question 1

- a) Define the following
 - (i) Policy (2 marks)
 - (ii) Centralized planning (1 mark)
 - (iii) Decentralized planning (2 marks)
 - (iv) Equity of the policy (2 marks)
 - (v) Efficiency of the policy (2 marks)
 - (vi) Food security (1 mark)
 - (vii) Food sovereignty (1 mark)
- b) Explain major components of a policy framework (5 marks)
- c) Highlight major effects of globalization to agricultural production in Kenya (4 marks)
- d) Explain the following classification of land ownership in Kenya
 - (i) Private land (2 marks)
 - (ii) Community land (2 marks)
 - (iii) Public land (2 marks)
- e) Explain the steps involved in policy analysis (4 marks)

Question 2

- a) Discuss the importance of agriculture in the Kenyan economy (4 marks)
- b) Explain four thematic areas in the Kenyan agricultural policy. (8 marks)
- c) Explain the evolution of Kenyan agricultural policy under the following periods
 - (i) Post-independence period (3 marks)
 - (ii) liberalization period (2 marks)
 - (iii) post liberalization period (3 marks)

Question 3

- a) Discuss the main characteristics of agricultural production in Kenya (6 marks)
- b) Briefly explain the fundamental objectives of policy analysis (14 marks)

Question 4

- a) Explain the following macro-economic policies affecting agricultural development
 - (i) Monetary and fiscal policies (3 marks)
 - (ii) Foreign exchange policies (3 marks)
 - (iii) Factor price policies (3 marks)
 - b) Explain how the following public investment policies influence agriculture
 - (i) Investment in infrastructure (4 marks)
 - (ii) Human capital investment (3 marks)
 - (iii) Investment in research and technology (4 marks)
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**FIRST YEAR SECOND SEMESTER EXAMINATION FOR
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MAIN CAMPUS

AAB 105: FUNDAMENTALS OF BUSINESS LAW

Date: 11th July, 2018

Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Answer Question ONE and any other TWO.
- Carefully read the instructions on the cover of the answer booklet



AAB 105: FUNDAMENTALS OF BUSINESS LAW

STREAMS: Y1S2 BSc AGBM

DATE:

TIME: 3 HOURS

Instructions:

This paper consists of **TWO** sections. Answer **ALL** the questions in section **A** and any **TWO** in Section **B**. Marks for each question are indicated in brackets against each question
Carefully read the instructions on the cover of the answer booklet

SECTION A: [30 Marks]

Question 1

Saturday Nation, March 12, 2016 – “Man gets two years in jail for tender”. Stephen Ajengo Musina, a procurement officer at Pumwani Maternity Hospital, was sentenced to two –and-half years in jail for awarding a company in which he is a director a tender to supply surgical materials to the facility in 2010.

a) Against this backdrop:

- (i) Explain the meaning, highlighting four (4) functions of law in Kenya(4 Marks)
- (ii) Discuss the moral responsibility of Stephen Ajengo Musina (6 Marks)
- b) What do you understand by the phrase “sources of law”? (2 Marks)
- c) Name and explain three (3) sources of law in Kenya as outlined in the “Judicature Act (Cap. 8) Laws of Kenya”. (3 Marks)

Question 2

Today we find that in spite of various measures like prescribing codes of conduct, setting up vigilance cells/commissions, active media and strengthening of legal mechanisms, corrupt practices are not coming under control.

- a) Differentiate the term “Law” from “morality”. (5 Marks)
- b) Name and briefly explain five (5) classifications of civil law. (5 Marks)
- c) Suggest five (5) effective strategies that could be taken to tackle the corruption menace (5 Marks)

SECTION B: [40 Marks]

Question 3

- a) Explain the meaning of “legal system”? (5 Marks)
- b) Illustrate the structure of courts in Kenya and briefly explain the establishment and jurisdiction of the Supreme Court. (5 Marks)
- c) What is the legislative procedure followed for a Bill to become Law (5 Marks)

Question 4

- a) What do you understand by the phrase “legal personality”? (2 Marks)
- b) Highlight six (6) consequences of incorporation as enunciated in the precedent case of *Solomon vs. Solomon & Sons Co. Ltd* (18 Marks)

Question 5

Write short notes on any three of the following:

- a) Types of business organizations (5 Marks)
 - b) Defenses under the law of torts. (5 Marks)
 - c) Salient features of law. (5 Marks)
 - d) Termination of the contract of Agency (5 Marks)
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**SECOND YEAR SECOND SEMESTER EXAMINATION FOR
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MANAGEMENT WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

AAB 205: CONTRACT LAW

Date: 11th July, 2018

Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Answer ALL Questions in Section A and any other THREE B.
- Carefully read the instructions on the cover of the answer booklet



Instructions:

This paper consists of **TWO** sections. Answer **ALL** the questions in section **A** and any **TWO** in Section **B**. Marks for each question are indicated in brackets against each question
Carefully read the instructions on the cover of the answer booklet

SECTION A: [30 Marks]

Question 1

A party may be held contractually liable even though he or she can show that in the process of contracting he or she made a material error as to the terms intended by the other party.

- a) What are vitiating factors/elements in a contract (5 Marks)
- b) Explain fully the essential features of a valid contract (10 Marks)

Question 2

- a) (i) What is Contract of Sale? (2 Marks)
- (ii) Differentiate between **Sale Agreement** and **Agreement to Sell**. (8 Marks)
- b) Describe the remedies that could be taken in case of a breach of contract (5 Marks)

SECTION B: [40 Marks]

Question 3

- a) Explain the meaning of “**Negotiable Instruments**”? (5 Marks)
- b) What are the important aspects that one should check when s/he receives a cheque from a customer? (15 Marks)

Question 4

- a) What do you understand by the phrase “legal personality”? (2 Marks)
- b) Highlight **six (6)** consequences of incorporation as enunciated in the precedent case of *Solomon vs. Solomon & Sons Co. Ltd.* (18 Marks)

Question 5

Write short notes on the following:

- a) Executory Contracts (5 Marks)
- b) Valid Contracts. (5 Marks)
- c) Expressed Contracts. (5 Marks)
- d) Quasi Contracts (5 Marks)

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THIRD YEAR SECOND SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF SCIENCE IN AGRIBUSINESS MANAGEMENT WITH INFORMATION TECHNOLOGY

MAIN CAMPUS

AAB 306: ECONOMIC DEVELOPMENT

Date: 5th July, 2018

Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Answer Question ONE and any other TWO.
- Carefully read the instructions on the cover of the answer booklet



Question 1

- a) Define the following:
- (i) Human development (2 marks)
 - (ii) Sustainable development (2 marks)
 - (iii) Poverty (2 marks)
 - (iv) Inequality (2 marks)
 - (v) Development (2 marks)
- b) Explain the difference between economic development and economic growth (4 marks)
- c) Explain five indicators of economic development of a country (10 marks)
- d) Give six reasons why it is important to clearly understand national incomes of countries (6 marks)

Question 2

- a) Most developing countries are experiencing a rapid population growth. Explain how this could lead to a slowed economic development. (10 marks)
- b) Using a diagram explain the Rostow's stage of growth (10 marks)

Question 3

- a) Giving examples discuss the effectiveness of Kenya's development strategies in relation to rural development (12 marks)
- b) Explain why GDP is not a good measure of economic development in Kenya (8 marks)

Question 4

- a) In the Kenyan vision 2030, agriculture is one of the main pillars. Briefly explain how the government intend to revitalize agriculture to enable it to contribute effectively to poverty alleviation in rural areas (10 marks)
- b) Explain five factors that are considered when formulating a policy aimed at reducing the gap between the rich and the poor (10 marks)
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AGRICULTURAL ECONOMICS WITH INFORMATION
TECHNOLOGY**

MAIN CAMPUS

AAB 306: ECONOMIC DEVELOPMENT

Date: 19th September, 2018

Time 12.00 - 3.00 pm

INSTRUCTIONS:

- Answer question ONE and any other TWO questions



Instructions:

Answer Question 1 and any other two

Carefully read the instructions on the cover of the answer booklet

Question 1

- a) Define the following:
- (i) Human development (2 marks)
 - (ii) Sustainable development (2 marks)
 - (iii) Poverty (2 marks)
 - (iv) Inequality (2 marks)
 - (v) Development (2 marks)
- b) Explain the difference between economic development and economic growth (4 marks)
- c) Explain five indicators of economic development of a country (10 marks)
- d) Give six reasons why it is important to clearly understand national incomes of countries (6 marks)

Question 2

- a) Most developing countries are experiencing a rapid population growth. Explain how this could lead to a slowed economic development. (10 marks)
- b) Using a diagram explain the Rostow's stage of growth (10 marks)

Question 3

- a) Giving examples discuss the effectiveness of Kenya's development strategies in relation to rural development (12 marks)
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MAIN CAMPUS

AAB 307: RISK AND INSURANCE

Date: 19th September, 2018

Time 8.30 - 11.30 am

INSTRUCTIONS:

- Answer question ONE and any other THREE questions.



Question 1

- a) Clearly distinguish between risk and uncertainty. (4 marks)
- b) Define the term underwriting as used in the context of insurance (3 marks)
- c) Exhaustively discuss pecuniary insurance (8 marks)
- d) Explain the reasons exacerbating low uptake of agribusiness insurance in most developing countries (10 Marks)

Question 2

Discuss the principles of insurance (15 Marks)

Question 3

To ensure food security and sustainable agriculture, the government of Kenya has contracted Kilimo Consulting House Ltd to ensure that farmers take up an agribusiness insurance policy. As the head of agribusiness division, discuss various strategies that you will adopt to ensure the project succeed. (15 marks)

Question 4

Discuss the current challenges facing insurance brokers in Kenya (15 Marks)

Question 5

Define re-insurance and explain its importance in the insurance industry (15 Marks)



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TECHNOLOGY**

MAIN CAMPUS

AAB 307: RISKS AND INSURANCE

Date: 9th July, 2018

Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Answer Question ONE and any other THREE.
- Carefully read the instructions on the cover of the answer booklet



Question 1

- a) Clearly distinguish between risk and uncertainty. (4 marks)
- b) Define the term underwriting as used in the context of insurance (3 marks)
- c) Exhaustively discuss pecuniary insurance (8 marks)
- d) Explain the reasons exacerbating low uptake of agribusiness insurance in most developing countries (10 Marks)

Question 2

Discuss the principles of insurance (15 Marks)

Question 3

To ensure food security and sustainable agriculture, the government of Kenya has contracted Kilimo Consulting House Ltd to ensure that farmers take up an agribusiness insurance policy. As the head of agribusiness division, discuss various strategies that you will adopt to ensure the project succeed. (15 marks)

Question 4

Discuss the current challenges facing insurance brokers in Kenya (15 Marks)

Question 5

Define re-insurance and explain its importance in the insurance industry (15 Marks)



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TECHNOLOGY**

MAIN CAMPUS

AAB 308: RESEARCH METHODS IN AGRIBUSINESS

Date: 20th September, 2018

Time 12.00 - 3.00 pm

INSTRUCTIONS:

- Answer question ONE and any other TWO questions
- Carefully read the instructions on the cover of the answer booklet



AAB 308 – RESEARCH METHODS IN AGRIBUSINESS

STREAMS: Y3S2 BSc AGBM, BSC AGECE with IT

DATE: _____

TIME: 3 HOURS

Instructions:

Answer Question 1 and any other two

Carefully read the instructions on the cover of the answer booklet

Question 1

- a) Define the following
 - (i) Research (1 mark)
 - (ii) Hypothesis (1 mark)
 - (iii) Sample (1 mark)
 - (iv) Census (1 mark)
 - (v) Population (1 mark)
- b) Differentiate between the following
- c) Descriptive research and analytical research (4 marks)
- d) Applied research and fundamental research (4 marks)
- e) Qualitative research and quantitative research (4 marks)
- f) Distinguish between PERT and CPM. (4 marks)
- g) What is Critical path in research projects? (1 marks)
- h) Under what circumstances would you recommend?
 - (i) Systematic sampling? (2 marks)
 - (ii) A multistage sampling? (2 marks)
 - (iii) Stratified sampling? (2 marks)
 - (iv) Cluster sampling? (2 marks)

Question 2

- a) Explain four characteristics of an optimum sample size (8 marks)
- b) The table below shows a project activities and the time taken in days. Using the table below answer the questions below

Activity	Immediate Predecessors	Activity Time (days)
A	-	12
B	-	6
C	A	13
D	A,B	12
E	C,D	11
F	D	13
G	E,F	11

- c) Draw the project network (6 marks)
- d) Determine the critical path (6 marks)

Question 3

- a) Explain the term time series analysis (4 marks)
- b) Giving examples explain four sources of variation in time series (16 marks)

Question 4

- a) A research scholar has to work as a judge and derive the truth and not as a pleader who is only eager to prove his case in favor of his plaintiff, Discuss the statement pointing out the objectives of research (10 marks)
- b) Explain five steps of the decision process (10 marks)
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MAIN CAMPUS

**AAB 312: CONTEMPORARY AGRICULTURAL PROBLEM
IN KENYA**

Date: 24th September, 2018

Time 12.00 - 3.00pm

INSTRUCTIONS:

- Answer ALL questions in SECTION A and any other TWO from SECTION B



AAB 312 –CONTEMPORARY AGRICULTURAL PROBLEM IN KENYA

Date: _____

Time: _____

INSTRUCTIONS:

Answer **ALL** questions in section A and TWO (2) in section B.

SECTION A: Compulsory

[30 Marks]

1. Write brief notes on the following terminologies:
 - a) Political environment. (2 marks)
 - b) Capital formation. (2 marks)
 - c) Malnutrition. (2 marks)
 - d) Dairy hubs. (2 marks)
 - e) Disguised unemployment. (2 marks)
2. Discuss rural extension programme and how it impacts on agricultural production. (8 marks)
3. Discuss briefly on seasonal unemployment in Kenya citing relevant examples. (4 marks)
4. Enlist some of the benefits of infrastructure in a rural set up. (4 marks)
5. Write short notes on the impact of technology in agricultural production. (4 marks)

SECTION B: Any Two questions [40 Marks]

6. Discuss in detail how Kenya can raise farm productivity citing past experiences and achievements. (20 marks)
 7. Most developing countries have serious challenges and problems of agricultural production and general productivity. What are some of the interventions you can recommend these economies to adopt as a tailor made solution. (20 marks)
 8. Political instability and governance has been cited as an impediment to development in Africa. Discuss. (20 marks)
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**FOURTH YEAR SECOND SEMESTER EXAMINATIONS FOR
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MANAGEMENT WITH INFORMATION TECHNOLOGY AND
BACHELOR OF SCIENCE IN AGRICULTURAL ECONOMICS
WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

AAB 403: FINANCIAL MANAGEMENT

Date: 25th September, 2018

Time 8.30 - 11.30 am

INSTRUCTIONS:

- Answer question ONE and any other TWO questions



QUESTION ONE [30 MARKS]

A company is considering two mutually exclusive projects requiring an initial cash outlay of Sh 10,000 each and with a useful life of 5 years. The company required rate of return is 10% and the appropriate corporate tax rate is 50%. The projects will be depreciated on a straight line basis. The before depreciation and taxes cash flows expected to be generated by the projects are as follows.

YEAR	1	2	3	4	5
Project A	Shs 4,000	4,000	4,000	4,000	4,000
Project B	Shs 6,000	3,000	2,000	5,000	5,000

Required:

a) Calculate for each project:

- i. The payback period (5 marks)
- ii. The average rate of return (5 marks)
- iii. The net present value (5 marks)

- iv. Profitability index (5 marks)
- v. The internal rate of return (5 marks)
- b) Which project should be accepted? Why? (5 marks)

QUESTION TWO [20 MARKS]

- (a) Distinguish between financial management and financial accounting. (4 marks)
- (b) State and briefly explain the key functions of financial management to any organization? (6 marks)
- (c) Business entities aim at achieving certain objectives through their operations. Explain why a firm guided by the profit maximization goal would be worse-off compared to one following the wealth maximization goal? (6 marks)
- (d) As a financial management student, explain why current earnings are said to be more preferable to future cash earnings? (4 marks)

QUESTION THREE [20 MARKS]

- (a) Assume a project costs Sh 30,000 and yields the following uncertain cash flows:

Year	Cash flow
1	12,000
2	14,000
3	10,000
4	6,000

Assume also that the certainty equivalent coefficients have been estimated as follows:

α_0	=	1.00
α_1	=	0.90
α_2	=	0.70
α_3	=	0.50
α_4	=	0.30

The risk-free discount rate is given as 10%

Required

- a) Compute the Net Present Value (NPV) of the project (15 marks)
- (b) Discuss the advantages and disadvantages of the certainty equivalent approach of calculating NPV (5 marks)

QUESTION FOUR [20 MARKS]

- (a) Explain the concept of '*rate of interest*' in the context of financial decisions. (5 marks)
- (b) The Mentala Plastics Company has been dumping in the local council waste collection centre some 30,000 Kg. of unusable chemicals each year. In addition to being an eyesore, the residents of a nearby estate have started complaining of bad odour emanating from the dumpsite and suspect that the company is to blame.

The company has received information that these chemicals can be recycled at relatively little cost. The equipment to do it is however rather expensive and, in addition, the chemicals recovered are of a relatively poor quality. Investigations have shown that these chemicals can be sold to another firm at an average price of Sh.35 per Kg. The direct cost of recycling has been calculated at Sh.15 per Kg but this is before depreciation and taxes.

The equipment for this process has an expected life of 10 years and a current cost of Sh.2 million. At the end of the ten years, it will be virtually worthless. For financial analysis, the company uses the straight line method of depreciation and an average tax rate of 40%. It has a required rate of return of 15%.

Required:

- i. Compute the project's net present value (NPV). (5 marks)
- ii. Should this project be undertaken? Explain. (5 marks)
- iii. Are there any other important matters that the company should consider in evaluating this project? (5 marks)

QUESTION FIVE**[20 MARKS]**

XYZ ltd. is considering three possible capital projects for the next year. Each project has a 1 year useful life, and project returns depend on the future state of the economy. The estimated rates of return are shown below.

State of the Economy	Probability of occurrence	Rate of Return		
		A%	B%	C%
Recession	0.25	10	9	14
Average	0.50	14	13	12
Boom	0.25	16	18	10

Required:

- a) Find each project's expected rate of return, variance, standard deviation and coefficient of variation. (5 marks)
- b) Compute the correlation coefficient between
- i. A and B (2 marks)
 - ii. A and C (2 marks)
 - iii. B and C (2 marks)
- c) Compute the expected return on a portfolio if the firm invests equal wealth on each asset. (5 marks)
- d) Compute the standard deviation of the portfolio. (4 marks)

QUESTION SIX**[20 MARKS]**

A company's current EPS is KSh 12. The firm pays out 40% of its earnings as dividends and has a growth rate of 6% p.a., which is expected to continue into perpetuity. The company has a beta value of 1.4 and the risk free rate is 10%. The expected market return is 15%.

Required:

- a) Mention the main assumptions of the Capital Asset Pricing Model (CAPM). (6 marks)
- b) Using the CAPM compute the expected return on the company's equity. (7 marks)
- (b) Explain the limitations of using the CAPM to determine a firm's cost of equity? (7 marks)



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WITH INFORMATION TECHNOLOGY**

MAIN CAMPUS

AAB 407: STRATEGIC MANAGEMENT

Date: 24th September, 2018

Time 8.30 - 11.30 am

INSTRUCTIONS:

- Answer question ONE and any other TWO questions



MAIN CAMPUS

AAB 407: STRATEGIC MANAGEMENT

Date: _____

Time: _____

INSTRUCTIONS

- Answer Question ONE and any other Two
- Each question must begin on a fresh page

QUESTION ONE

(a) Write short notes on the following strategies, giving relevant examples

- i. Intended strategy (3 marks)
- ii. Emergent strategy (3 marks)
- iii. Realized strategy (4 marks)

(b) Distinguish between a mission statement and a vision statement for an organization and explain the benefits of each (10 marks)

(c) Michael porter advanced three generic strategies that business units can adopt to compete effectively. Discuss these strategies (10 marks)

QUESTION TWO

(a) Discuss key steps to a successful strategy implementation process in an organization (10 marks)

(b) Explain the benefits of strategic management in an organization (10 marks)

QUESTION THREE

(a) Assume you are an agricultural officer working with sugarcane farmers in Kakamega County and you are determined to improve their livelihood. Discuss how you would use SWOT analysis to achieve your mission. (12 marks)

(b) Discuss four basic components of the strategic management process (8 marks)

QUESTION FOUR

Discuss the external forces that affect an organization's strategies and management (20marks)

QUESTION FIVE

(a). Define the term "dynamic environment" as used in strategic management (3 marks)

(b) How does dynamic environment affect larger companies versus smaller companies? (5marks)

(b). What is critical to an organization's survival in a dynamic environment? (6 marks)

(c). Describe three internal variables that affect strategy formulation (6 marks)
